



[Weekly Market Commentary](#)

Dear clients,

The macro factors contributing to crypto performance are currently rotating away from monetary policy concerns to US election outcomes, as US rate cut expectations remain largely unchanged despite the slightly higher than expected headline CPI print this week. On a tighter timeframe, China's upcoming fiscal policy briefing scheduled for Saturday, October 12 could affect crypto indirectly as most markets will be closed during the briefing. Crypto markets could be used as a way to express proxy views on the size and strength of any fiscal announcements.

Meanwhile, US enforcement actions by both the SEC and DOJ against wash trading – as well as the reveal that the FBI created its own crypto token – makes decentralized exchange (DEX) volumes an important metric to track in the near term in our view. This comes just as Uniswap, the leading Ethereum DEX, announced a new layer-2 (L2), Unichain, with the aim of aggregating liquidity and DeFi activity. Yet even as L2s continue to proliferate, attention towards scaling the Ethereum mainnet has resurfaced in the ongoing discussions around EIP-7782 and EIP-7783.

Finally, we just published our [Monthly Outlook: The Bitcoin Ecosystem](#) where we discuss how the advent of Bitcoin layer-2s, bridges, virtual machines (VM), wallets and staking protocols is overcoming some of the network's programmatic and functional limitations. This may potentially unlock new forms of economic value for Bitcoin and support the growth of BTCfi (Bitcoin DeFi). However, technological limitations persist such as Bitcoin's UTXO (Unspent Transaction Output) architecture and its intentionally sparse scripting language.

Read full report

Best,
The Coinbase Institutional Team

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

[Watch now →](#)

Also, please take a look at our [Institutional Research portal](#) for an archive of all our research reports.

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

[Subscribe here →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2024 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland

www.coinbase.com

[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.